ALGO CORRECTION | PORTFOLIO SHIFT | OPTION STRATEGIES

TRADING ❯

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TASK 1 : THE "ALGO-CORRECTION"

PART 1:

1. The line c is a valid line as it clearly indicates a support level for the consolidation zone indicating that market participants consistently stepped in, showing it is a valid "key level".

2. The lines a and b are invalid indicating they are a "market noise".

PART 2:

1.The line c acts as a support in the consolidation zone, and the purple region represented is the price zone as in this zone,the market participants can expect a reversal in trend and actively participate when price falls into this range confirming that support is indeed the line c.
The purple zone marks the range where price repeatedly fell and bounced back, showing consistent buying interest and confirming it as a strong support area.

PART 3:

Q.) Long wicks near support and resistance: What do they reveal?

The presence of long wicks near support and resistance shows strong rejection at those levels. At support, long lower wicks indicate sellers attempted to push price lower but were overpowered by buyers, while at resistance, long upper wicks show buyers were unable to sustain higher prices due to seller pressure. This reflects active participation from both sides, confirming these zones as areas of high decision-making rather than random price movement

TASK 1 : THE “ALGO-CORRECTION”

PART 3:

Q.) Is the dip below support genuine selling or a stop hunt? How do we differentiate?

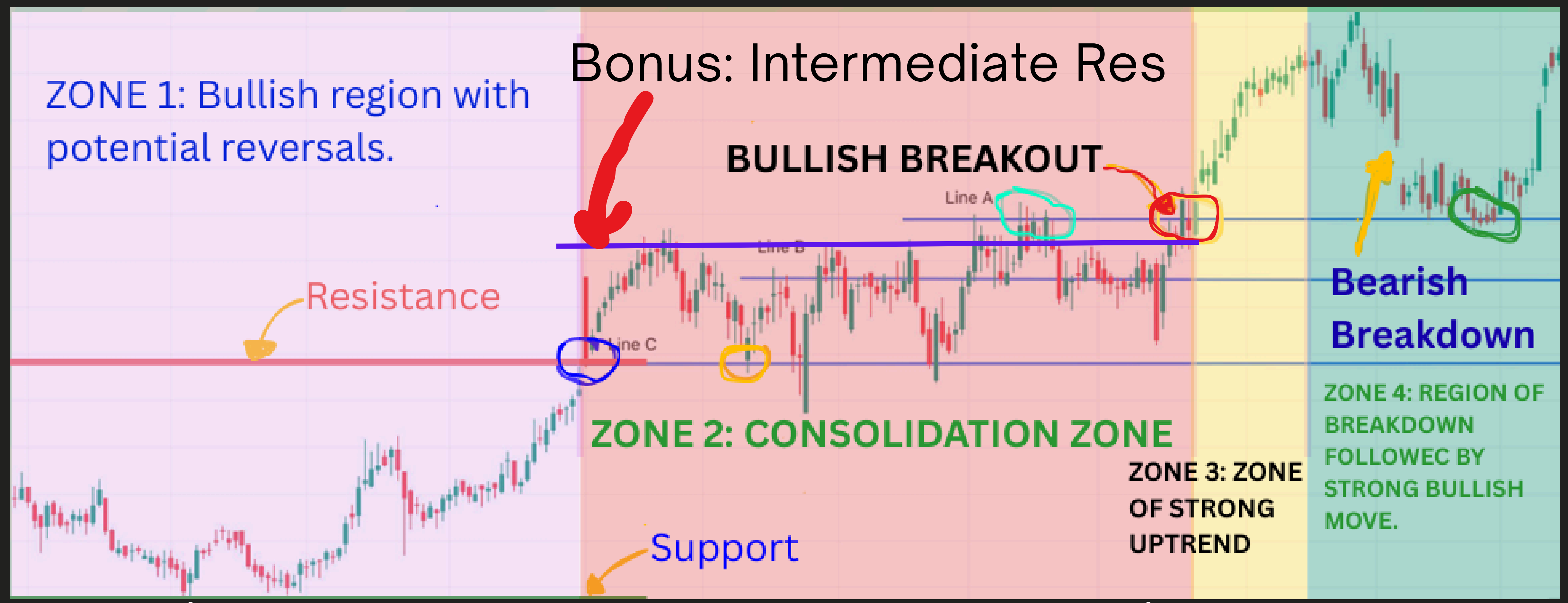
The brief move below support was not real selling because the price did not stay down or continue falling. Instead, it quickly moved back up, showing that buyers were waiting. This indicates a stop hunt, where price briefly drops to trigger stop-losses and collect sell orders before moving higher. We can differentiate between a liquidity trap and a true breakdown by checking the volume of trades. If the volume of trade spikes briefly (stop - losses triggered) and goes back to normal, it indicates a liquidity trap otherwise it is genuine.

Q.) How to judge whether the breakout above Line A is real or fake?

A real breakout is confirmed when price retests the breakout level and holds above it instead of falling back into the range. If the price hits the line and bounces back upward, it confirms that the previous resistance has flipped into new support. This transition shows that buyers are now defending this higher price zone, providing a high-probability entry point with a stop-loss just below the line. In a fake breakout, the new support would be formed below the resistance which indicates a bull trap.

Q.) Why does volatility shrink before the major breakout?

Markets often become quiet before a large move because buyers and sellers reach a temporary balance, leading to smaller candles and reduced volatility. During this phase, positions are gradually built without pushing the price in either direction. Once this balance breaks, one side gains control, resulting in a strong and decisive move out of the range.



PART 2:

LINE A: We basically see 3 regions,where the stock prices fall into the range close to the line A.
Problem with Turquoise : no clear reversal sign.
Problem with Red zone: line clearly cuts the candlestick as the stock continues its bullish momentum.
Problem with Green region: line clearly cuts the candlesticks and hence not a valid line.

PART 4:

ZONE 1 (BULLISH REGION WITH POTENTIAL REVERSALS):

We can use fibonacci retracement levels to track the potential reversal lines in this overall bullish region, and can combine it with MACD to identify potential crossovers.

ZONE 2 (CONSOLIDATION ZONE):

we can use RSI in this region as this region appears as a consolidated zone with high volatility,hence RSI can be used to track momentum of stock and identify OVERBOUGHT/OVERSOLD states.We can pair it with Williams %R indicator for a potential confirmation of trend.

ZONE 3 (STRONG UPTREND):

This is a region of strong uptrend, and hence using a combination of ADX and EMA would be the best here confirming the uptrend strength which could otherwise not be properly tracked by RSI and oscillators (best used for sideways movement).

ZONE 4 (REGION OF BREAKDOWN FOLLOWED BY STRONG BULLISH MOVE):

For this region (region of bearish breakdown and then followed by a strong Bullish move) we can,use: supertrend indicator by adjusting it to a shorter ATR time frame with a lesser multiplier to measure the extreme volatility and trading volume of the price stock minutely and EMA to determine momentum and direction of the overall trend.

TASK 2: THE "PORTFOLIO SHIFT"

ALLOCATION RATIONALE:

- Company I (Beverages) and Company J (Healthcare) receive the largest allocations (30,000 each) due to stable demand patterns, predictable purchasing behavior and insulation from operational volatility as confirmed by News 6.

- Company H (Hardware) is a new entry with a strong allocation (20,000), as News 1 signals stability in manufacturing and the company is refreshing its product line, updating hardware designs, and reinforcing its ecosystem.

- Company A and B face high logistics cost (margins are squeezed already) and expansion risk as they continue to expand without confirmed demand (News 2,3) while News 5 for Company E (Investment Group) suggests a more cautious investment stance, with capital being reallocated and secondary initiatives scaled back, increasing risk for a multi-venture portfolio model. Hence an exit from these 3 companies sounds best.

- Company G (Search/Ad Tech) has positives such as improving indexing speed and ranking algorithms, so it should be able to cater to the expanding digital base easily and hence excelling in user engagement. However it also faces the issue of revenue effficiency which it tries to address by testing contextual text based ads.

TASK 2: THE "PORTFOLIO SHIFT"

ALLOCATION RATIONALE:

- Although Company C (E-commerce) has set its large warehouses for holiday surges and improved logistics, a clear establish demand is yet to be seen in short term which makes it a bit skeptical. The investors are looking to cut secondary initiatives and focus on core activities which is against the interest of company C. The Company is also facing rising distribution and storage complexities.

- Company D (Portal & Content Platform) is exited as News 4 indicates that while user engagement is rising, revenue efficiency remains unchanged and though the company is trying to expand, it reports uneven revenue trends which is a negative factor if efficiency remains unchanged.

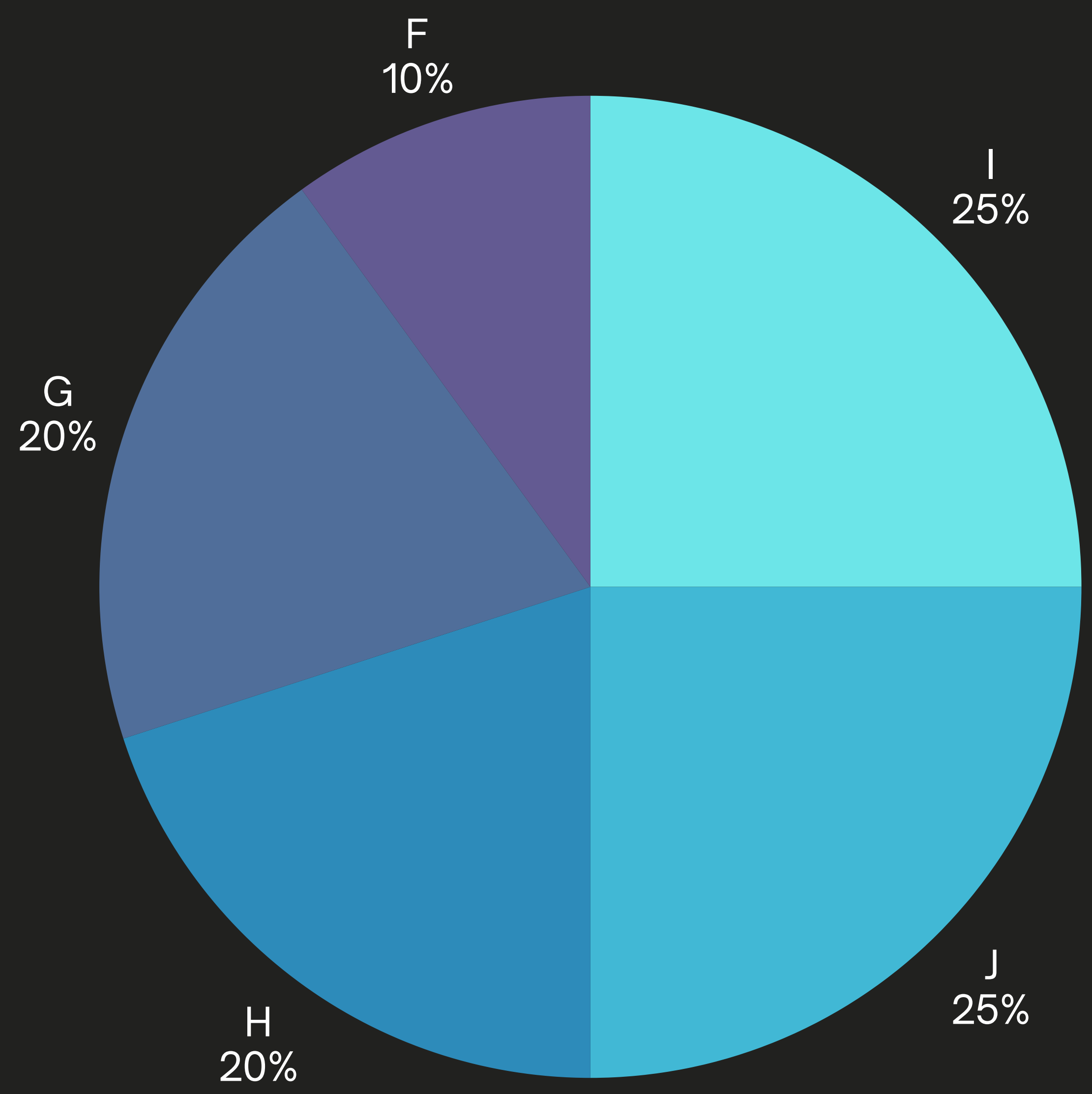
- Company F (Broad Consumer E-commerce) receives a moderate allocation as, despite rising fulfillment complexity noted in News 2, the company is actively optimizing warehouse operations and supply chains, reducing execution risk compared to other digital retailers.

TASK 2: THE "PORTFOLIO SHIFT"

SECTOR INTERPRETATION SUMMARY:

The news suggests a divergence across sectors. Consumer staples and healthcare remain the most stable, supported by predictable demand and minimal operational volatility (News 6). Hardware and scalable technology platforms benefit from stable operating conditions and efficiency improvements rather than aggressive capacity expansion (News 1, 4). In contrast, digital retail and logistics-heavy models face rising fulfillment complexity, margin pressure, and expansion risks without confirmed demand visibility (News 2, 3). Investment-focused firms show increased caution in capital deployment, indicating higher uncertainty around returns (News 5).

PERCENTAGE BUDGET ALLOCATION



PORTFOLIO ALLOCATION

Sr.No	Stock Name	Status	Amount Allocated	% Allocation
1	A	Exit	₹0	**0%**
2	B	Exit	₹0	**0%**
3	C	-	₹0	**0%**
4	D	-	₹0	**0%**
5	E	Exit	₹0	**0%**
6	F	Invest	₹10,000	**10%**
7	G	Hold	₹20,000	**20%**
8	H	Invest	₹20,000	**20%**
9	I	Invest	₹25,000	**25%**
10	J	Invest	₹25,000	**25%**

SUMMARY:	**NO. OF STOCKS: 5**	**NET AMOUNT INVESTED: ₹1,00,000**

INTRADAY STRATEGY REPORT
MARKET VIEW: BULLISH

Strategy Selection : Bull Call Spread (Vertical Spread)

Option Legs Involved :

To construct this spread, the following trades are executed simultaneously at 9:25 AM using the nearest weekly expiry data.

- Buy Leg: 1 Lot (75 units) of 26000 CE @ ₹37.10 (Ask Price)
- Sell Leg: 1 Lot (75 units) of 26100 CE @ ₹14.05 (Bid Price)

Net Premium Paid: ₹23.05 per unit

- (Calculation: 37.10 - 14.05 = 23.05)
  - Total Outflow: ₹1728.75 (23.05 × 75)

Maximum Possible Profit: ₹76.95 per unit

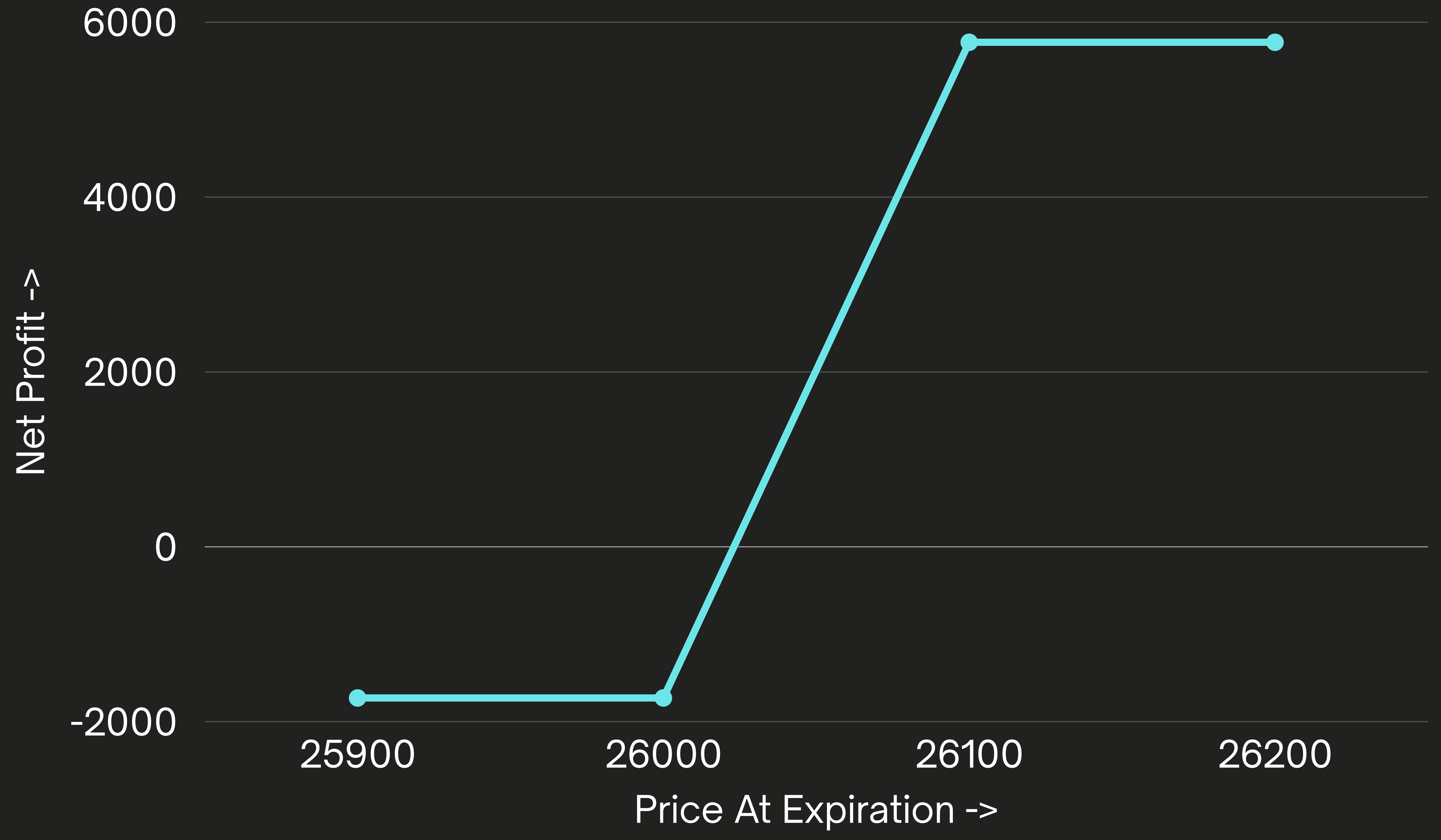
- (Calculation: [26100 - 26000] - 23.05 = 76.95)
  - Total Max Profit: ₹5771.25 (76.95 × 75)

Maximum Possible Loss: Limited to Net Premium Paid

  - Total Max Loss: ₹1728.75

Break-even Point: 26023.05 (Calculation: Lower Strike 26000 + Net Premium 23.05)

INTRADAY STRATEGY REPORT: MARKET VIEW: BULLISH



Capital and Margin Requirements

- Margin Required: ₹50,000.
- Capital Efficiency: This strategy offers a maximum Return on Margin of 11.54% (5771.25 ÷ 50,000)

INTRADAY STRATEGY REPORT: MARKET VIEW: BULLISH

Logical Reasoning & Market View

- While we are currently in the OTM Zone, we have ensured that the breakeven point is close to 26000 (26023.05), we have taken into account the Bullish move of the market and we have very high chances of hitting the maximum profit potential of ₹5771.25 (when the NIFTY index moves above 26100 @ 3:15 PM) putting us in an ITM Zone.
- High Probability Metric(close to current NIFTY Index) With Excellent Reward-Risk Ratio: We expect a swing of >0.5% upwards in an intraday market or a swing of atleast 100 points upwards in the case of bullish market scenario and hence our lot selection is strong on Probability metric and also has excellent reward risk-ratio of 3.34.

Risk Management

- Defined Risk: While we try to maximize the Probability of Profit, we often compromise on the Reward-Risk ratio and vice versa, by using this strategy and selecting this lot, we have ensured that we obtain a close to sweet spot of both this metric and hence our Risk Management Strategy is strategically chosen.

INTRADAY STRATEGY REPORT: MARKET VIEW: BEARISH

Strategy Selection : Bear Put Spread (Vertical Spread)

Option Legs Involved :
To construct this spread, the following trades are executed simultaneously at 9:25 AM using the nearest weekly expiry data.

- Buy Leg: 1 Lot (75 units) of 26100 PE @ ₹171.6 (Ask Price)
- Sell Leg: 1 Lot (75 units) of 25800 PE @ ₹14.1 (Bid Price)

Net Premium Paid: ₹157.5 per unit

- (Calculation: 171.6 - 14.1 = 157.5)
    - Total Outflow: ₹11,812.5 (157.5 × 75)

Maximum Possible Profit: ₹142.5 per unit

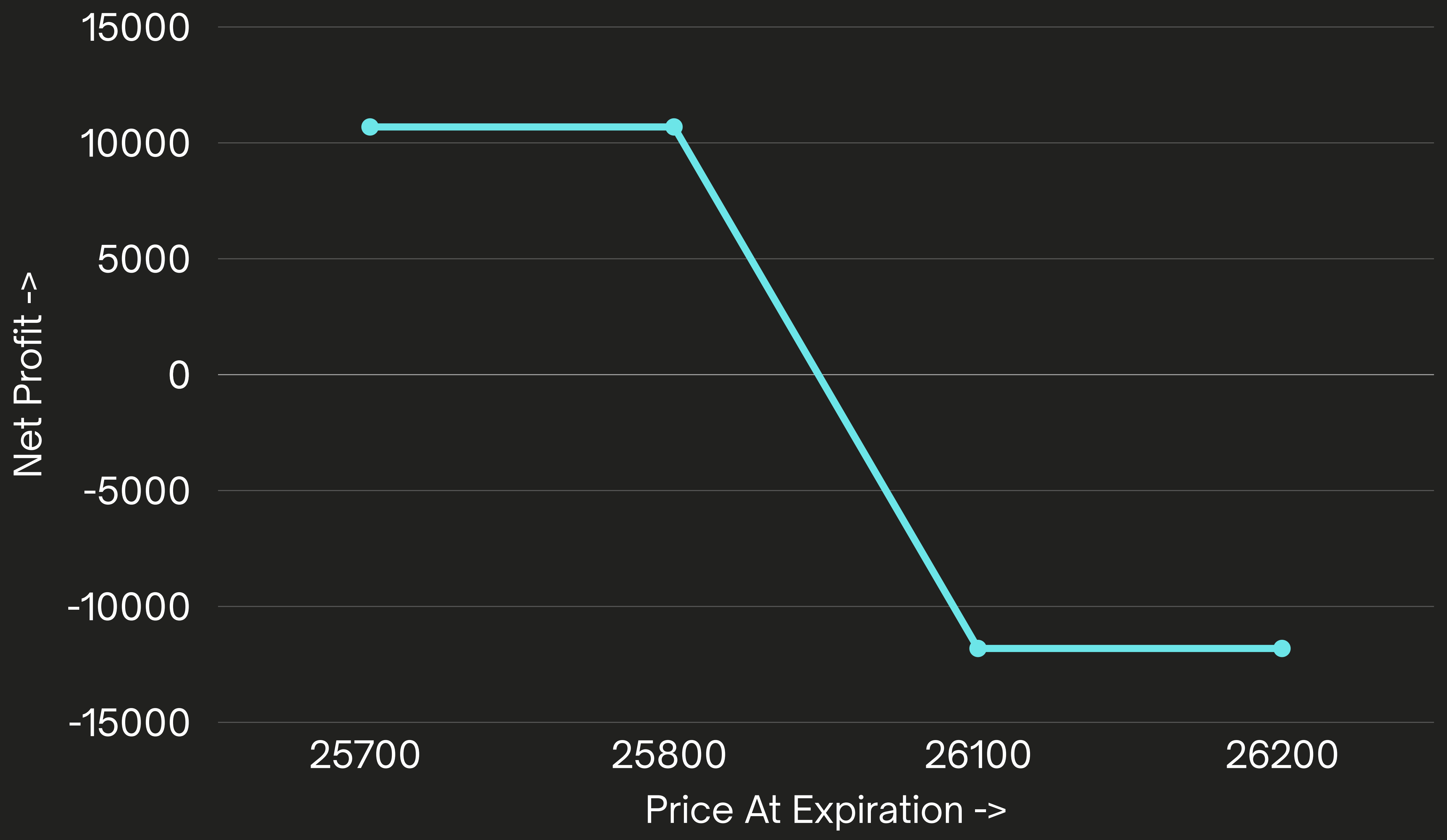
- Total Max Profit: ₹10,687.5 (142.5 × 75)

Maximum Possible Loss: Limited to Net Premium Paid

- Total Max Loss: ₹11,812.5

Break-even Point: ₹25,942.5 (Calculation: Long Put Strike 26100 - Net Premium 157.5)

INTRADAY STRATEGY REPORT: MARKET VIEW : BEARISH



Capital and Margin Requirements

- Margin Required: ₹50,000.
- Capital Efficiency: This strategy offers a maximum Return on Margin of 21.3% (10,687.5 ÷ 50,000)

INTRADAY STRATEGY REPORT: MARKET VIEW: BEARISH

Logical Reasoning & Market View

- High Probability : Our break-even (25,942.5) is below the current market price. In a bearish market considering even a less than 0.5% drop in the price of the index we will be proftable under this strategy.
- Maximizing Margin Utility: A 300-point width makes the best use of the ₹50,000 margin.
- Decent Reward Risk(RR) Ratio: The RR ratio of this trade is of 0.9:1 with a high chance of the trade to become profitable.

Risk Management

- High Probability With Decent Reward-Risk Ratio: Focusing on only the best RR Ratio gave us a very low probability of actual payout. In this case we found a balance between the two, giving us a decent RR ratio with a significant probability of payout. We could have also chosen a pair where we would have maximized profit but the chance of that trade to be actually possible would be of one in a lottery.

INTRADAY STRATEGY REPORT
MARKET VIEW: NEUTRAL

Strategy Selection : 25800/25900/26100/26200 Iron Condor

Option Legs Involved :

To construct this strategy, four legs are executed simultaneously:

- Sell 25900 PE: 1 Lot @ ₹40.85 (Bid) — Short Put
- Sell 26100 CE: 1 Lot @ ₹14.05 (Bid) — Short Call
- Buy 25800 PE: 1 Lot @ ₹14.20 (Ask) — Long Put (Protection)
- Buy 26200 CE: 1 Lot @ ₹6.60 (Ask) — Long Call (Protection)

Net Premium Received: ₹34.10 per unit

- (Calculation: [40.85 + 14.05] - [14.20 + 6.60] = 34.10)
- Total Credit: ₹2,557.50 (34.10 × 75)

Maximum Possible Profit: Limited to Net Premium Recieved

- Total Max Profit: ₹2557.50

Maximum Possible Loss: ₹65.90 per unit

- (Calculation: Spread Width 100 - Net Credit 34.10 = 65.90)
- Total Max Loss: ₹4,942.50 (65.90 × 75)

Break-even Points:

- Lower BE: 25,865.90 (Short Put 25900 - 34.10)
- Upper BE: 26,134.10 (Short Call 26100 + 34.10)

INTRADAY STRATEGY REPORT
MARKET VIEW: NEUTRAL

Capital and Margin Requirements

- Margin Required: ₹70,000.
- Return on Margin: Potential 3.65% yield for the intraday window if the market stays within the range.

INTRADAY STRATEGY REPORT
MARKET VIEW: NEUTRAL

Logical Reasoning & Market View

- Why the Iron Condor?: The Iron Condor is the perfect strategy to capitalise in a consolidated market. It provides profit in both cases if the market falls or rises slightly (In this case 0.52% fall or rise). It is expected that a market moves 80 to 130 points in a low volatile period.
- Playing the Range: With NIFTY at 26,000, this strategy targets the neutral sentiment of the market. We are betting that the index will stay within a 268-point corridor (between 25,866 and 26,134) by the closing time.

Risk Management

- Balance of Probability and Profit: We can increase the profit margin by narrowing the corridor but that reduces the chances of a payout and vice - versa. It is important to find the right balance which this corridor (134 point fall to 134 point rise) perfectly ensures.

NET CAPITAL INVESTED

STRATEGY : BULL CALL SPREAD

- Margin Required = ₹50,000
- Net Premium Paid = ₹1,728.75 (Per Lot)
- Total Capital Required = ₹51,728.75 (Per Lot)

STRATEGY : BEAR PUT SPREAD

- Margin Required = ₹50,000
- Net Premium Paid = ₹11,812.5 (Per Lot)
- Total Capital Required = ₹61,812.5 (Per Lot)

STRATEGY : IRON CONDOR

- Margin Required = ₹70,000
- Net Premium Credited = ₹2,557.5 (Per Lot)
- Total Capital Required = ₹70,000 (Per Lot)

OVERALL CAPITAL: ₹183,541.25